



NOTIFICATION CONCERNING UPDATED INSIDER TRADING POLICY

For immediate release, 3 March 2011

Further to Sky Network Television Limited's notice dated 23 December 2010, and for the purposes of ASX Listing Rule 12.9, Sky Network Television has now adopted a new insider trading policy for staff (see attached).

Ends.

For further information please contact:

Jason Hollingworth
Chief Financial Officer
Sky Network Television
(09) 579 999
021 312 928
jhollingworth@skytv.co.nz

SKY Network Television Limited
10 Panorama Road, Mt Wellington
PO Box 9059, Newmarket
Auckland, New Zealand
Tel: +64 9 579 9999
Fax: +64 9 525 8324
www.skytv.co.nz

17 INSIDER TRADING

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17.1 COMPANY POLICY

- 17.1.1 SKY's company policy in relation to insider trading is that officers and employees of the company may not buy or sell securities in the company while they are Information Insiders, nor may they disclose this information to others with a view to them trading.
- 17.1.2 As a precaution, under section 17.6 certain Key Management Personnel identified in that section are prohibited from trading during Prohibited Periods (with limited exceptions) whether or not they are Information Insiders during those periods.
- 17.1.3 SKY's company policy affirms the law relating to insider trading which is contained in the Securities Markets Act 1988 (the "Act").

17.2 WHO IS AN INFORMATION INSIDER?

- 17.2.1 An Information Insider is, in relation to SKY, a person who:
- (a) has Material Information relating to SKY that is not generally available to the market; and
 - (b) knows or ought reasonably to know that the information is Material Information; and
 - (c) knows or ought reasonably to know that the information is not generally available to the market.
- 17.2.2 Material Information is information that:
- (a) a reasonable person would expect, if it were generally available to the market, to have a material effect of the price of listed securities; and
 - (b) relates to particular securities, a particular public issuer, or particular public issuers, rather than to securities generally or public issuers generally.

- 17.2.3 This is an objective test. It does not matter whether the Information Insider believes the information will have an effect on the market price. The insider trading rules apply regardless of how a person learns of the information and regardless of why they are trading.
- 17.2.4 Information will be considered generally available to the market if it has been released as an NZX announcement, or investors that commonly invest in SKY's listed securities can readily obtain the information (whether by observation, use of expertise, purchase or other means).
- 17.2.5 The prohibition on insider trading applies not only to information concerning SKY's securities. If a person has Material Information in relation to listed securities of another public issuer, that person must not trade in those securities.

17.3 WHAT TRANSACTIONS ARE CAUGHT?

- 17.3.1 Where a person who is an Information Insider in relation to SKY buys or sells securities in SKY or engages in tipping, the person will be caught by the Act.
- 17.3.2 Tipping occurs when an Information Insider of a public issuer directly or indirectly discloses the inside information to another person (the Tippee) where the Information Insider knows or ought reasonably to know or believes that the Tippee will, or is likely to:
- (a) trade securities of the public issuer; or
 - (b) if the Tippee is already a holder of those securities, continue to hold them; or
 - (c) advise or encourage a third party to trade or hold them.
- 17.3.3 Tipping will also occur where an Information Insider:
- (a) advises or encourages the Tippee to trade or hold the securities; or
 - (b) advises or encourages the Tippee to advise or encourage a third party to trade or hold the securities.

17.4 EXTENT OF LIABILITY

- 17.4.1 Under the Act it is a criminal offence to knowingly breach insider trading laws. If convicted, an individual is liable for a term of up to five years imprisonment or a fine of up to \$300,000 or both. A company will be liable of a fine of up to \$1 million.
- 17.4.2 The Act also imposes a range of civil penalties for breach of the insider trading laws. The Securities Commission can seek a range of penalties and compensation orders from the courts. The maximum penalty that can be imposed is the greater of:
- (a) the consideration paid for the transaction;
 - (b) three times the profit made or loss avoided; or
 - (c) \$1 million.

17.5 DISCLOSURE OF RELEVANT INTERESTS BY DIRECTORS AND OFFICERS

- 17.5.1 The Act also requires directors and officers of SKY to disclose Relevant Interests and dealings in securities of the public issuer and any related body corporate to the public issuer and NZX within 5 trading days of their appointment or the relevant transaction.
- 17.5.2 A director or officer who must make a disclosure must complete a disclosure notice in accordance with the Securities Markets (Disclosure of Relevant Interest) Regulations 2003. Notices, once completed, should be provided to the Chief Financial Officer for entry in SKY's interests register and should be filed with the NZX.
- 17.5.3 The Act defines Officer to mean any person, however designated, who is concerned or takes part in the management of the public issuer's business, but excludes any class or classes of persons that are declared by regulations not to be officers for the purposes of the Act. The Regulations state that a person is an "excluded person" (and therefore not an Officer) if he or she does not:
- (a) report directly to the Board of Directors; or
 - (b) report directly to a person who reports directly to the Board; or
 - (c) report directly to a person who reports directly to the person in (b) above; or
 - (d) manage a principal business unit, division, or function of a public issuer.
- 17.5.4 Relevant Interest is broadly defined. Apart from direct ownership of shares and other securities, it includes where:
- (a) a person is the beneficial owner of a security;
 - (b) a person has the power (by him or herself or jointly with others) to:
 - exercise the vote attached to a security, or buy or sell a security; or
 - control the voting, or the purchase or sale by another person, of a security; or
 - (c) due to an arrangement or understanding, a person may have such powers in the future;
 - (d) another person or the board of a company which controls the voting, or the purchase or sale, of a security acts on a person's wishes; or
 - (e) a person has or controls a shareholding of 20% or more in a company that holds a security.
- 17.5.5 A person is treated as a director or Officer for a period of 6 months after the date on which they cease to be a director or Officer, and must continue to comply with these disclosure obligations.

17.6 PROHIBITED PERIODS

- 17.6.1 In addition to the general prohibition on Information Insiders trading or tipping, Key Management Personnel and any companies or trusts that they control or have a beneficial interest in are prohibited from trading in SKY securities during Prohibited Periods. Certain types of trading in SKY securities are excluded from this prohibition (see section 17.6.5) and Key Management Personnel may be entitled to trade during a Prohibited Period in exceptional circumstances where they obtain the consent of SKY's Company Secretary (see section 17.6.6).
- 17.6.2 Key Management Personnel include:
- (a) the Board of Directors;
 - (b) an officer of SKY, as that term is defined in paragraph 17.5.3; and
 - (c) anyone else who is notified by SKY's Company Secretary that they are Key Management Personnel for the purposes of this policy.
- 17.6.3 Key Management Personnel will be considered responsible for the actions of trusts and companies controlled by them. Control should be given a broad meaning, and you will be considered to control an entity if you can influence decisions made by that entity. If you are in any doubt as to whether you have control over a company or trust please ask SKY's Company Secretary.
- 17.6.4 The Prohibited Periods are:
- (a) 30 days prior to SKY's half year balance date, until the first trading day after the half year results are released to NZX;
 - (b) 30 days prior to SKY's year end balance date, until the first trading day after the full year results are released to NZX; and
 - (c) 30 days prior to the release of a prospectus for a general public offer of SKY securities.
- 17.6.5 Key Management Personnel, and any companies or trusts they control, are not prohibited from the following transactions during Prohibited Periods:
- (a) participation in an employee, executive or director incentive plan operated by SKY;
 - (b) acquisition of SKY securities through a dividend reinvestment plan;
 - (c) acquisition of SKY securities through a share purchase plan available to all retail shareholders;
 - (d) acquisition of SKY securities through a rights issue;
 - (e) disposal of SKY securities through the acceptance of a takeover offer;

- (f) dealings that result in no effective change to the beneficial interest in the securities (for example, a transfer of shares held by an Officer into a superannuation fund or trust of which that Officer is the beneficiary);
- (g) trading under a pre-approved non-discretionary trading plan where:
- (h) the plan was not entered into or amended during a Prohibited Period,
- (i) the plan does not permit the person to exercise any influence or discretion in relation trading under the plan; and
- (j) the plan is for a fixed period and cannot be cancelled before the expiry of that period, other than in exceptional circumstances; and
- (k) disposal of SKY securities due to a secured lender exercising their rights, for example under a margin lending arrangement.

17.6.6 In exceptional circumstances, Key Management Personnel may be permitted to trade SKY securities during a Prohibited Period if they receive consent from SKY's Company Secretary. Such exceptional circumstances may include:

- (a) severe financial hardship;
- (b) compulsion by court order;
- (c) other circumstances that are deemed to be exceptional.

17.6.7 The procedure for obtaining consent for the purposes of section 17.6.6 is as follows:

- (a) The person notifies SKY's Company Secretary in writing of their intention to trade, including the reasons for requesting an exemption from the policy;
- (b) The person confirms in writing that they do not hold any Material Information;
- (c) The person confirms that they know of no reason to prohibit the proposed trading;
- (d) SKY's Company Secretary will promptly consider the request and determine whether consent will be given in his/her absolute discretion.

17.6.8 Any consent to trade given by the Sky's Company Secretary will be deemed to be withdrawn if the relevant Key Management Personnel becomes aware of Material Information prior to trading.

17.6.9 Trading conducted outside of the Prohibited Periods may still breach this policy and the Act, even if it is not a breach of this section 17.6.

17.6.10 Any trading by an Information Insider at any time will be unlawful. Key Management Personnel trading in Sky securities must also comply with their disclosure obligations outlined in section 17.5.